

United States Court of Appeals for the Fourth Circuit

Response Brief of Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC

Asterglen Freight Software, Inc., Appellant, v. Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC, Appellees.

No. SYN-CA4-26-CV-4102 Appellate ECF No. 6 — Filed May 8, 2026

This appeal must be dismissed because the district court never made the express determination required by Federal Rule of Civil Procedure 54(b). Its February 4 order granted Asterglen's motion and directed entry of a separate judgment, but the order does not determine that there is no just reason for delay. JA216. The separate judgment records dismissal of Count I while expressly leaving Count II and Copper's amended counterclaim pending; it supplies no additional finding or determination. JA220–221.

Rule 54(b) makes that judicial statement a condition of finality when fewer than all claims are resolved. Neither a party's requested language nor a clerk-entered separate document may replace it. This Court therefore lacks jurisdiction under 28 U.S.C. § 1291. The proper disposition is dismissal and remand without reaching Asterglen's contract argument and without vacating the January 12 order. If jurisdiction existed, the summary judgment should be affirmed because Asterglen selected remedies expressly conditioned on notice and cure, yet afforded Copper zero cure days.

Corporate disclosures and organization

Copper Kestrel Logistics, LLC has no parent corporation, and no publicly held corporation owns ten percent or more of its membership or equity interests. Meridian Silt Holdings, LLC likewise has no parent corporation and no publicly held corporation owns ten percent or more of its membership or equity interests. Neither appellee identifies a publicly held corporation with a direct financial interest in this appeal. Each will amend its disclosure if a relevant relationship changes.

The brief begins with the basis for dismissal because jurisdiction precedes every merits question. It then recounts the claims, transaction, partial-summary-judgment ruling, and certification papers. The argument explains why Count I's disposition does not become appealable without the express no-just-reason determination, why the current record would make unsupported certification especially problematic, and why dismissal leaves the underlying order intact.

For completeness, Appellees answer Asterglen's preserved merits theory only on the condition that this Court finds jurisdiction. That discussion shows that the district court correctly applied the unambiguous notice-and-cure sequence to Asterglen's immediate termination and breach-damages demand. It does not invite an advisory decision. The Court should stop after resolving finality against Asterglen.

Principal authorities include 28 U.S.C. § 1291; Federal Rules of Civil Procedure 54(b), 56, and 58; *Kinsale Insurance Co. v. JDBC Holdings, Inc.*, 31 F.4th 870 (4th Cir. 2022); and the unpublished, nonbinding but instructive disposition in *McPherson v. Patton*, No. 23-1938 (4th Cir. Oct. 15, 2024).

Jurisdictional response

Appellees agree that the district court had diversity jurisdiction under 28 U.S.C. § 1332. They disagree that this Court presently has § 1291 jurisdiction. The January 12 order dismissed Count I with prejudice but resolved neither Count II nor Copper's amended counterclaim. JA192–198. That order was therefore not a final decision ending the district action.

Rule 54(b) could have made the Count I disposition appealable if the district court both expressly determined that there was no just reason for delay and directed entry of judgment. It did only the latter. The February 4 order says the motion is granted and directs the Clerk to enter a separate judgment. JA216. The partial judgment says Count II and the counterclaim remain pending and includes no missing determination. JA220–221. The certified docket confirms the same status. JA228–234.

Asterglen filed its notice on March 3, before the ordinary March 6 date measured from February 4. JA222–224. Appellees do not dispute that conditional calculation. But a notice cannot convert a nonfinal ruling into a final decision. No § 1292 certification, injunction appeal, collateral order, or other statutory exception applies. Because finality is absent, the Court must dismiss without considering Asterglen's request to reverse summary judgment.

Issues stated by Appellees

1. Whether the appeal must be dismissed when the district court resolved fewer than all claims and neither its Rule 54(b) order nor its separate judgment expressly determines that there is no just reason for delay.
2. Whether the proper jurisdictional disposition is dismissal and remand without vacating the January 12 partial-summary-judgment order or deciding the contract merits.
3. If this Court nevertheless exercises jurisdiction, whether summary judgment was correct when Section 9.2 required written breach notice and a fifteen-calendar-day cure opportunity before termination for breach or breach damages, Asterglen provided neither before acting, and evidence showed the configuration could be reduced within three business days.

The first question is answered by the entered text. Asterglen's motion requested an express finding, but its request is not an order. JA199–204. Appellees' opposition warned that a bare grant and separate judgment would not suffice. JA205–211. The district court then entered exactly those two deficient papers. JA216, JA220–221. The second question follows from the limited power of a court lacking jurisdiction. The third should not be reached, but Appellees preserve their entitlement to affirmance if it is.

Statement of facts: the pleaded claims

Asterglen's Complaint alleges that Copper used BeaconRoute beyond the scope of a Pilot License and that Meridian assisted the disputed expansion. JA1–8. Count I seeks \$480,000 from Copper for alleged breach. Count II seeks \$360,000 from Meridian for alleged interference. The Complaint recognizes evidentiary overlap but pleads the counts against different defendants.

Copper denied that it used the platform outside permitted testing and asserted that Asterglen violated the agreed remedy sequence. JA9–18. Its amended counterclaim seeks \$120,000 arising from the immediate July 22 service disablement and alleged failure to honor Section 9.2. JA31–36. Asterglen denies the counterclaim and argues that some consequences were not remediable. JA37–41. Meridian denies improper inducement and maintains that its integration work was authorized by Copper and consistent with the operational directions it received. JA19–24.

These are not completed side issues. Count II requires adjudication of Meridian's knowledge, intent, conduct, causation, and damages. The counterclaim requires adjudication of Asterglen's obligations, Copper's performance, causation, claimed restoration costs, and possible offset. The district court has not entered judgment on either. Their continued presence makes Rule 54(b), rather than ordinary whole-case finality, indispensable to this appeal.

The written agreement and requested expansion

The April 15, 2024 Pilot License authorized 12 terminals and provided a written procedure for changing licensed scope. JA42–54. Section 9.2 required a party asserting material breach to provide a writing describing that breach and allow fifteen calendar days for cure before termination for breach or a demand for breach damages. The parties agree on that text, though Asterglen disputes its reach.

Copper proposed a change order for 29 more terminals on June 3. JA55–59. Asterglen never signed it. Asterglen sent written load-test conditions on June 10, preserving the 12-terminal boundary while allowing controlled testing. JA60–64. Copper retained Meridian under a June 14 integration statement of work. JA65–71. By July 1, 41 identifiers had been provisioned, corresponding to the original 12 and proposed 29. JA72–78.

Provisioning was necessary to conduct the anticipated load test. The parties disagree about whether later activity remained within testing limits and about a July 8 discussion. JA79–84. Copper understood that Asterglen permitted current work to proceed under monitoring. Asterglen says it allowed only a bounded technical exercise. Meridian understood that integration could continue but did not claim authority to execute a license change for Asterglen. No signed amendment resulted.

Audit, termination, and proposed cure

Asterglen performed an internal compliance audit on July 18. JA85–90. The audit reported 41 provisioned identifiers and activity Asterglen viewed as beyond the pilot. It distinguished provisioning from authorization but was not served on Copper as a breach notice. It contained no fifteen-day deadline and offered no cure test.

On July 22, Asterglen disabled a shared staging credential, declared immediate termination, and demanded \$480,000. JA91–97. That was the first writing to state the asserted breach and invoke the two Section 9.2 remedies. It gave Copper zero days to cure. Copper immediately objected and offered to reduce the active configuration to 12 terminals within three business days. Asterglen did not withdraw its action or open the contractual period.

The later feasibility exercise achieved the reduction in three business days. JA137–144. Asterglen notes that the controlled conditions differed from live traffic, but its witness conceded the section contains no express futility exception and that Copper had evidence supporting prompt reduction. JA110–119. Copper's witness explained the planned sequence and denied that Copper would have refused a proper demand. JA120–128. Meridian's technical witness described continued work through July 25 as preservation and shutdown rather than an attempt to defeat cure. JA129–136.

The January 12 ruling

Copper's motion assumed for purposes of decision that Asterglen could prove unauthorized activity. JA151–163. It argued that even on that assumption Asterglen could not terminate for breach and demand \$480,000 without first performing Section 9.2's agreed procedure. Its fact statement established the written sequence, lack of notice, absence of any cure interval, and evidence of technical feasibility. JA164–170.

Asterglen opposed on contract construction and excuse theories. JA171–179. It contended that completed misuse could not be fully cured and that the agreement should not shield uncompensated conduct. Meridian's limited response emphasized overlap between the Count I record and pending Count II. JA180–185. Copper's reply relied on Asterglen's admissions concerning the July 22 writing and the absence of an earlier qualifying notice. JA186–191.

The district court granted summary judgment on January 12. JA192–198. It read Section 9.2 as a chronological condition on the remedies Asterglen selected, held that general awareness and internal auditing were not contractual notice, and found no evidence that cure would have been useless. It did not decide the July 8 credibility conflict, Meridian's intent, or Copper's counterclaim. The order dismissed Count I with prejudice and explicitly preserved the other claims.

The certification record

Asterglen's Rule 54(b) motion correctly recited the two-step standard. JA199–204. It asked the district court to find an ultimate disposition of Count I, determine expressly that there was no just reason for delay, and direct a separate judgment. Asterglen discussed the relationship of claims, repeated-review risk, possible setoff, and equities while contending that the contract issue was sufficiently distinct.

Appellees opposed. JA205–211. They explained that all claims involve the April license, proposed expansion, 41 identifiers, disputed permission, audit, termination, cure evidence, and damages. Copper's unresolved counterclaim could offset any revived Count I recovery. Parallel review would require two courts to address the same transaction, and Asterglen identified no extraordinary hardship. Appellees also explained that a separate judgment cannot replace the no-just-reason determination.

Asterglen's reply renewed its exact request. JA212–215. The district court did not adopt it. The February 4 order states only that the court reviewed the submissions, grants the motion, directs judgment on Count I, and leaves the other claims pending. JA216. The judgment records that limited result and says it supplies no additional findings or determinations. JA220–221. The Clerk kept the case open.

Summary of argument

The appeal lacks jurisdiction. Section 1291 reaches final decisions. The January 12 ruling did not end the action, and Rule 54(b) was the only asserted path to claim-specific finality. Rule 54(b) conditions that path on an express no-just-reason determination plus a direction for judgment. The district court entered a direction but omitted the determination.

Asterglen cannot repair the order by incorporating language from its motion. Courts speak through entered decisions, and a party's proposed rationale does not become a judicial finding through a bare grant. Nor can the Rule 58 judgment cure the defect. A separate document performs a distinct function and cannot provide a Rule 54(b) determination that it does not contain.

The missing act matters on this record. Count II and the counterclaim are live, factually related, and potentially linked through damages and setoff. *Kinsale* requires a case-specific determination tilted against fragmentation. Without findings, this Court cannot review discretion deferentially. Dismissal and remand leave the January 12 order untouched. If the Court reaches merits despite the defect, it should affirm because the undisputed chronology establishes noncompliance and defeats excuse.

Argument I: Section 1291 requires a final decision

Federal appellate jurisdiction ordinarily waits until the district court has completed the action. That rule prevents repeated appeals, respects district-court control over ongoing litigation, and permits review on a coherent record. The January 12 order resolved Count I but expressly left Count II and a counterclaim. JA192–198. It therefore did not terminate the action.

Rule 54(b) provides a narrow route for a judgment on fewer than all claims. The court first must have ultimately disposed of an individual claim. It then must determine that there is no just reason for delay and express that determination before directing judgment. *Kinsale*, 31 F.4th at 873–76. The analysis is tilted against fragmented appeals because certification is exceptional.

Appellees do not dispute that dismissal with prejudice ultimately disposed of Count I. The failure occurs at the second step. No other exception is available. The case involves no injunction for § 1292(a)(1), no certified controlling question under § 1292(b), and no collateral order. Asterglen's notice was filed within the conditional thirty-day period, but a prompt notice from an unappealable ruling remains ineffective to create jurisdiction. The Court must examine the entered papers rather than the parties' agreement about timing.

Argument II: The determination must be express

Rule 54(b)'s phrase “only if the court expressly determines” does not permit an implied determination. The rule identifies the actor, form, and subject of the required act: the district court must state that there is no just reason for delay. This language ensures that the court responsible for the ongoing case actually weighs immediate review against efficient administration.

The February 4 order never makes that statement. JA216. It grants the motion, directs entry of a separate judgment, defines the completed claim, and preserves the unresolved claims. Those acts show an intention to enter a document, but they do not express the determination the rule makes essential. A court can intend an immediate appeal and still omit a jurisdictional prerequisite.

The omission is especially clear because Asterglen placed the required language before the district court. JA199–204. Appellees' opposition then distinguished the requested determination from a bare grant. JA205–211. The court chose not to include findings or the operative phrase. Whether that choice was inadvertent or deliberate is immaterial; appellate jurisdiction turns on what the court entered. Treating the request as incorporated would erase the word “expressly” and leave future courts guessing which arguments a short grant adopted.

Argument III: The separate judgment cannot cure Rule 54(b)

Rule 58 ordinarily requires a judgment to be set out in a separate document. That requirement determines when a judgment is entered and provides a clear trigger for post-judgment deadlines. Rule 54(b), by contrast, determines whether a partial disposition may be treated as final while other claims remain. Compliance with one rule does not establish compliance with the other.

The partial judgment here is properly limited in form. It enters judgment for Copper on Count I, dismisses that claim with prejudice, and says Count II and the amended counterclaim remain pending. JA220–221. It also states that it does not enlarge or add reasoning to the court's prior orders. Nothing in it determines that delay is unjustified. The document therefore confirms claim disposition but cannot transform it into a § 1291 final decision.

The unpublished *McPherson* decision considered the same structural problem. A district court granted a Rule 54(b) request and entered a partial judgment, yet this Court dismissed because the express determination was missing. Although nonprecedential, that reasoning faithfully applies the rule's text and accords with *Kinsale*'s published framework. Asterglen identifies no binding authority allowing a party's motion plus a silent judgment to replace the district court's express act.

Argument IV: The record requires district-court judgment, not appellate reconstruction

The certification factors are contested. Count I and the remaining claims have different elements, but they share nearly the entire operational chronology. Review of the contract ruling would require study of the license, proposal, testing terms, 41 identifiers, July 8 communications, audit, termination, cure materials, testimony, and claimed loss. Count II and the counterclaim require many of those same sources.

Copper's counterclaim presents a concrete setoff concern. If Copper recovers some or all of \$120,000, that result may affect the net relationship if Count I is later restored. Count II also raises allocation and double-recovery questions concerning alleged loss from the same deployment. A later judgment could narrow issues or permit one comprehensive appeal.

Asterglen offers responses, including different party alignment and distinct elements. But those are arguments for the district court to weigh in determining whether immediate review is justified. This Court cannot choose among them and manufacture the missing certification. Without an express determination or findings, there is no exercise of discretion to review. Remand preserves the district court's ability to continue the case, revise its partial ruling, or enter a proper supported certification if circumstances and law permit.

Argument V: The jurisdictional disposition is limited

Dismissal for lack of finality ends only this premature appeal. It does not reverse or affirm Count I, decide the Section 9.2 dispute, or resolve whether Asterglen ultimately may obtain appellate review. The district court retains the case and the authority applicable to its interlocutory rulings while Count II and the counterclaim remain pending.

Vacatur of the January 12 order would be inappropriate. A court lacking jurisdiction cannot grant Asterglen the practical benefit of undoing an adverse merits ruling. *Kinsale* dismissed and remanded without disturbing the underlying partial decision. 31 F.4th at 876. That approach respects both jurisdictional limits and the district court's continuing control.

The mandate should therefore communicate dismissal and remand, not a merits disposition. On remand, the parties may continue litigating the unresolved claims. The district court may consider any properly presented request concerning its prior order, certification, scheduling, or whole-case resolution. This Court should express no view on those matters. Nor should it direct entry of Rule 54(b) findings; the discretionary determination belongs first to the district court on the record then existing.

Argument VI: Conditional merits response—contract language

If jurisdiction exists, the Court reviews summary judgment de novo. Section 9.2 unambiguously required written notice describing a material breach and fifteen calendar days to cure before termination for breach or a demand for breach damages. JA42–54. Asterglen chose both covered remedies on July 22 and made them immediately effective. JA91–97. It had not previously provided the contractual writing or interval.

The June 10 load-test conditions were not a breach notice. JA60–64. They governed anticipated testing, did not identify a completed material default, set no fifteen-day cure deadline, and did not announce termination or damages upon failure to correct. The July 18 audit remained internal and was never delivered as notice. JA85–90. General awareness that the permanent license covered 12 terminals is not a substitute for the specific procedure the parties selected.

Asterglen's \$480,000 demand is the contract recovery pleaded in Count I. It includes alleged license value and response-related costs arising from the same contract theory. JA1–8. Asterglen cannot avoid the agreed precondition by dividing a single demand into labels after invoking termination. The district court correctly confined its ruling to that count and did not decide independent tort or counterclaim issues.

Argument VII: Conditional merits response—no supported excuse

Asterglen's principal excuse is that completed unauthorized use could not be cured. But Section 9.2 contains no exception allowing immediate covered remedies whenever the notifying party characterizes some injury as completed. More importantly, Asterglen produced no evidence that providing the promised opportunity would have been useless as to the breach it identified.

Copper offered to reduce the active configuration within three business days. JA91–97. A later controlled exercise did so, leaving ample time within the fifteen-day period. JA137–144.

Asterglen disputes whether the test recreated all live conditions, yet that dispute does not show cure was impossible. Its corporate witness acknowledged the absence of a written notice and cure interval and could not identify an express contractual futility clause. JA110–119.

The disputed July 8 permission also does not excuse the sequence. If Asterglen's restrictive account is accepted, it still needed to notify Copper of the particular material breach found and allow the agreed correction period before terminating and demanding damages. If Copper's account is accepted, Asterglen's breach theory weakens further. Either way, the credibility dispute cannot cure the undisputed failure to send the required writing before acting. Summary judgment therefore was proper on Count I.

Argument VIII: Scope of any conditional affirmance

If the Court reaches the merits and affirms, it should preserve the district court's careful limits. The January 12 order decides only Asterglen's Count I contract demand against Copper. It does not find which July 8 account is true, adjudicate Meridian's intent, establish liability on Copper's counterclaim, fix damages on either remaining claim, or decide the amount of a setoff. JA192–198.

The shared evidence may be used later subject to ordinary evidentiary rules and the district court's rulings. An affirmance would not convert assumptions made for Copper's motion into findings against Meridian or Asterglen on a different claim. Nor would it prevent the district court from addressing the parties' remaining legal theories on a fuller record.

This limited scope is another reason the Court need not vacate anything upon jurisdictional dismissal. The district order already states its boundaries. Leaving it in place preserves the exact procedural posture that existed before the premature appeal. Appellees request no appellate finding beyond what is necessary: lack of jurisdiction first, or affirmance limited to Count I only if the Court concludes the Rule 54(b) prerequisite somehow was satisfied.

Conclusion and certificates

The Court should dismiss this appeal for lack of appellate jurisdiction and remand the matter to the district court. The disposition should not reach the contract merits and should not vacate the January 12 order. If the Court instead holds that Rule 54(b) was satisfied, it should affirm the judgment on Count I while leaving Count II and Copper's amended counterclaim for district-court adjudication.

The undersigned certify that this brief accurately discloses the pending claims, uses citations to the continuously numbered district record, and relies on no material outside that record. The relevant motions were submitted in writing, so no transcript citation is necessary. The brief contains no restricted information.

Counsel certify compliance with the applicable type-volume, typeface, and style requirements based on the filing system's word count, excluding material omitted by rule. Counsel also certify that the electronic submission was reviewed before filing and is identical to the served version.

On May 8, 2026, this brief was filed through the Court's electronic filing system. The system served counsel of record for Asterglen Freight Software, Inc., Copper Kestrel Logistics, LLC, and Meridian Silt Holdings, LLC. Filed jointly for Appellees by their respective appellate counsel, each speaking only for the client represented.